

eBooks and digital exhaustion

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TOTAL REVENUE CONSUMER

£2.5 billion

Up
5%

Total volume/
net units
696m units

Up
5%

Home
market
£1.5 billion

Up
2%

Export
market
£1 billion

Up
9%

PRINT

Up
2%



£2 billion

Home
market
£1.2 billion

Down
1%

Export
market
£780 million

Up
8%

DIGITAL

Up
17%



£566 million

Home
market
£341 million

Up
17%

Export
market
£225 million

Up
17%

Fiction

Up
18%

£1.1 billion

Audio
downloads
£268 million

Up
31%

Non-
fiction
£1.1 billion

Down
4%

Children's

No
change

£413 million



TOP 3 EXPORT COUNTRIES

United
States

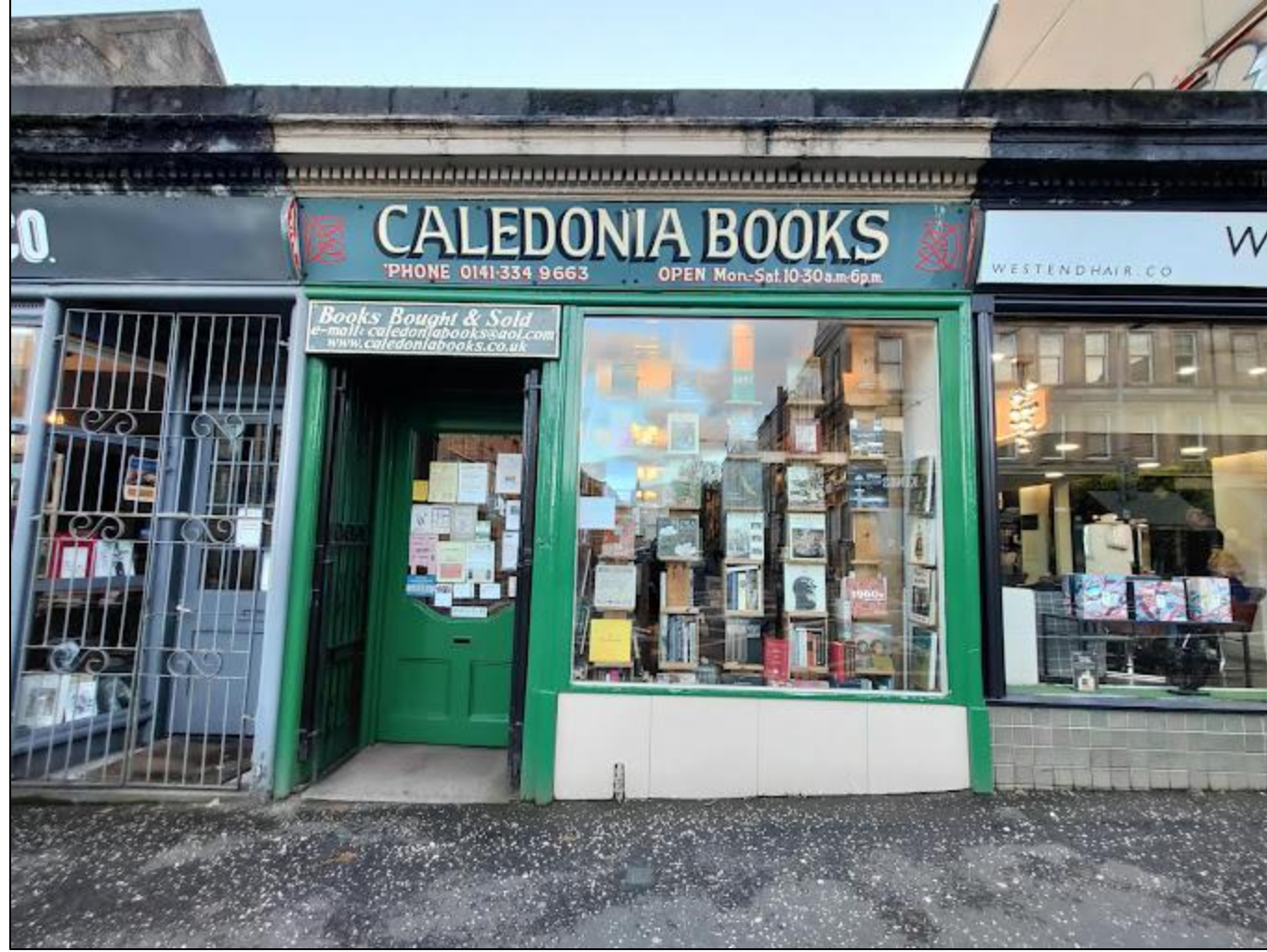
Up
23%

Australia

Up
9%

Germany

Up
4%



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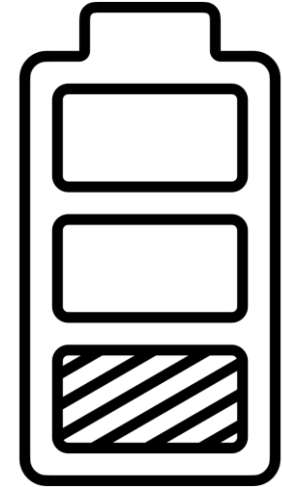
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Four elements of exhaustion



1. Rightsholder (doctrine of consent)
2. Lawful sale and transfer of ownership
3. Original or copy of a protected subject matter
4. Resale of a copy by a lawful owner

Why exhaustion?

Superiority of property over copyright

Reward theory

Restrictions to the rightsholders' market control

Principle of exhaustion: EU

Information Society Directive (InfoSoc)

Article 3: Right of communication to the public of works and right of making available to the public other subject-matter

3. The rights referred to in paragraphs 1 and 2 shall not be exhausted by any act of communication to the public or making available to the public as set out in this Article.

Article 4: Distribution right

2. The distribution right shall not be exhausted within the Community in respect of the original or copies of the work, except where the first sale or other transfer of ownership in the Community of that object is made by the rightholder or with his consent.

Principle of exhaustion: UK

Sec. 18 CDPA Infringement by issue of copies to the public.

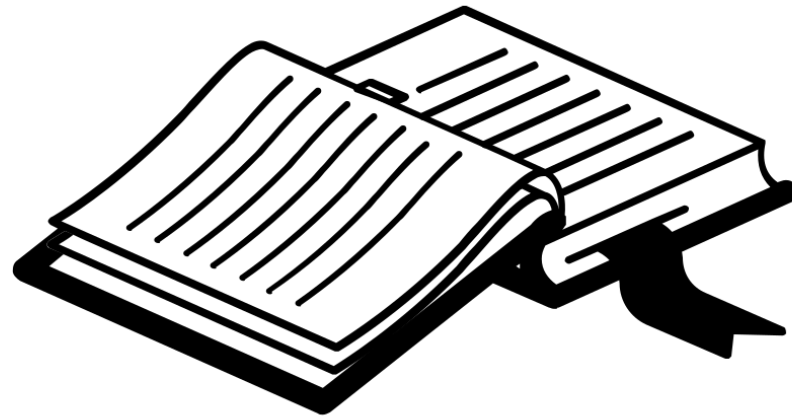
(1) The issue to the public of copies of the work is an act restricted by the copyright in every description of copyright work.

(2) References in this Part to the issue to the public of copies of a work are to the act of putting into circulation in the United Kingdom copies not previously put into circulation **in the United Kingdom or the EEA** by or with the consent of the copyright owner.

→ Post-Brexit UKIPO consultation on the UK's future regime for exhaustion of IP rights

I can

I cannot



Exhaustion applies to the distribution of copies.
Is it relevant for digital formats?

UsedSoft



- Oracle produces and offers computer software. Majority of its customers download a copy of software from the internet.
- Oracle's license agreements (EULAs) allow users to permanently store a copy of software on a server. Ordinarily, they are volume licenses (25 users).
- UsedSoft markets software licenses. It acquired unused parts of Oracle's volume licenses and offered it to its customers (Oracle Special Offer).
- UsedSoft customers downloaded the up-to-date version of the software from Oracle's website.

Does Oracle sale or license its software?

Does exhaustion apply to intangible copies?

Software Directive

Art. 4(2)

The first sale *in the Community of a copy of a program by the rightholder or with his consent shall* **exhaust the distribution right** *within the Community of* **that copy**, *with the exception of the right to control further rental of the program or a copy thereof.*

Sale v license

*According to a commonly accepted definition, a 'sale' is an agreement by which a person, **in return for payment**, transfers to another person his rights of ownership in an item of **tangible or intangible** property belonging to him. [42]*

*The making available by Oracle of a copy of its computer program and the conclusion of a user licence agreement for that copy are thus intended to make the copy usable by the customer, **permanently, in return for payment of a fee designed to enable the copyright holder to obtain a remuneration corresponding to the economic value of the copy of the work** of which it is the proprietor. [45]*

Distribution v communication to the public

InfoSoc Directive introduces right of communication to the public

right of communication to the public cannot be exhausted (art. 3(3))

Software Directive (1991) predates the InfoSoc Directive (2001)

art. 1(2): this Directive shall leave intact and shall in no way affect existing Community provisions relating to:

(a) the legal protection of computer programs;

Software Directive is **lex specialis**

Tangible v intangible copy

*On the contrary, that provision, by referring without further specification to the 'sale ... of a copy of a program', **makes no distinction according to the tangible or intangible form** of the copy in question. [55]*

*[...]from an economic point of view, the sale of a computer program on CD ROM or DVD and the sale of a program by downloading from the internet are similar. **The on-line transmission method is the functional equivalent of the supply of a material medium.** [61]*

*the functionalities corrected, altered or added [...] form **an integral part of the copy** originally downloaded and can be used by the acquirer of the copy for an unlimited period[67]*

Oracle sales software to its customers.

This sale is subject to the right of distribution.

The sale exhausts Oracle's distribution right.

UsedSoft can resale Oracle's software, but –

volume licenses cannot be divided.

**ReDigi (US)*



ReDigi was a marketplace for „used“ digital music. Users uploaded lawfully purchased music onto Cloud Locker, and either accessed it for personal use or sold it to other users.

Q: Does first sale doctrine cover ReDigi process?

A: No, it doesn't.

ReDigi's process involves **reproductions of original sound recordings**.

ReDigi's users violate both right of reproduction and right of distribution of music rightsholders.

Tom Kabinet



- Tom Kabinet offered “used” ebooks to its club members.
- The ebooks were bought by Tom Kabinet from either official distributors or its members.
- When selling an ebook to Tom Kabinet, members received credits and were required to erase the book from their device.

Is the supply of ebooks distribution or communication to the public?

Is the right of ebook publishers exhausted?

Distribution v communication to the public

*It thus follows from that explanatory memorandum that [...] any communication to the public of a work, **other than the distribution of physical copies of the work**, should be covered not by the concept of 'distribution to the public', [...], but by that of 'communication to the public'[45]*

*every online service is in fact an act which **should be subject to authorisation** where the copyright or related right so provides[51]*

*it is apparent from the travaux préparatoires for that directive that **a clear distinction was sought** between the electronic and tangible distribution of protected material.[56]*

Tangible v intangible copy

*an e-book is **not a computer program**, and it is not appropriate therefore to apply the specific provisions of Directive 2009/24[54]*

*The supply of a book on a material medium and the supply of an e-book cannot, however, be considered equivalent from an economic and functional point of view. [...] dematerialised digital copies, unlike books on a material medium, **do not deteriorate with use**, and used copies are therefore **perfect substitutes** for new copies. In addition, exchanging such copies requires **neither additional effort nor additional cost**, so that a parallel second-hand market would be likely to affect the interests of the copyright holders in obtaining appropriate reward for their works much more than the market for second-hand tangible objects[58]*

Communication to the public?

Remember the formula:

(work +) act of communication + public

Works made available to anyone registered with the reading club

Users accessing works in succession

*No technical measures in place

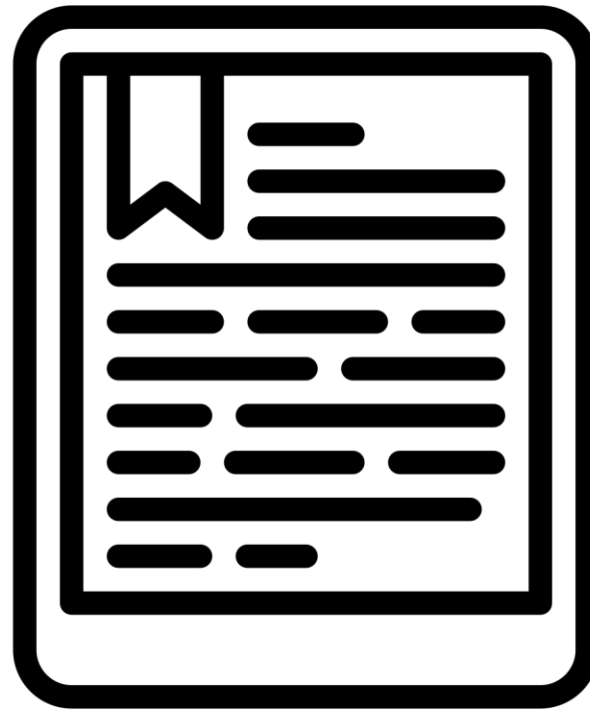
Publishers were communicating their works to the public.

Publishers right of communication to the public was not exhausted.

Tom Kabinet infringed publishers' right of communication to the public.

Different legal regime for software and other works protected by copyright with regards to exhaustion.

I can



I cannot

What are the pros and cons of digital exhaustion?

Pro

Strengthening competition

Innovation

Privacy guarantee

Prevention of anti-competitive practices



Con

Digital copies do not deteriorate

Multiplication of works poses a risk to competition

Difficult to verify compliance with rules

Difficult to distinguish between lawful and unlawful copies

Exhaustion potentially obsolete because of streaming

No additional cost involved in reselling and distribution